

KPI Definitions

Single Source of Truth — Commercial Metrics

Version 2.1 · January 2024 · KPI-2024-01

Owner: Analytics Team

This document is the single source of truth for all commercial KPI definitions. Any change must be approved by the Head of Analytics and the CFO before dashboards, board packs, or investor reports are updated.

1. Revenue Metrics

1.1 Average Selling Price (ASP)

Field	Detail
Definition	Total new business ACV divided by the number of new logos closed in the period
Formula	$ASP = \text{Total New ACV} / \text{Number of New Logos}$
Frequency	Monthly (reported), quarterly (trended)
Exclusions	Renewals, expansions, and professional services revenue
Target FY2024	USD 145,000 company-wide
Owner	VP of Sales

1.2 Annual Recurring Revenue (ARR)

Field	Detail
Definition	Annualised value of all active subscription contracts at a point in time
Formula	$ARR = \text{Sum of all active MRR} \times 12$
Snapshot	Last business day of each month
Target FY2024	USD 42,000,000
Owner	Finance

1.3 Net Revenue Retention (NRR)

Field	Detail
Definition	Revenue retained from existing customers including expansions, net of churn and contraction
Formula	$(\text{Starting ARR} + \text{Expansion ARR} - \text{Churned ARR} - \text{Contraction ARR}) / \text{Starting ARR} \times 100$
Target FY2024	110% or above
Owner	VP of Customer Success

1.4 Gross Revenue Retention (GRR)

Field	Detail
Definition	Revenue retained from existing customers excluding any expansion or upsell revenue
Formula	$(\text{Starting ARR} - \text{Churned ARR} - \text{Contraction ARR}) / \text{Starting ARR} \times 100$
Target FY2024	88% or above
Owner	VP of Customer Success

2. Sales Efficiency Metrics

2.1 Win Rate

Field	Detail
Definition	Percentage of qualified opportunities that result in a closed-won outcome
Formula	$\text{Win Rate} = \text{Closed Won} / (\text{Closed Won} + \text{Closed Lost}) \times 100$
Scope	Opportunities reaching Stage 3 or beyond; early-stage withdrawals excluded
Frequency	Weekly rolling 13-week and monthly point-in-time
Target FY2024	28% or above company-wide
Regional targets	APAC: 31% or above EMEA: 27% or above North America: 26% or above
Owner	VP of Sales

2.2 Pipeline Coverage Ratio

Field	Detail
Definition	Ratio of total pipeline value (Stages 2-5) to remaining revenue target for the period

Field	Detail
Formula	Coverage = Open Pipeline ACV / Remaining Quota
Minimum acceptable	3.0x at the start of a quarter
Warning threshold	Below 2.5x triggers a pipeline review
Critical threshold	Below 2.0x triggers a VP intervention
Owner	Sales Operations

2.3 Quota Attainment

Field	Detail
Definition	Individual rep performance as actual closed-won ACV vs assigned quota
Formula	Closed Won ACV / Assigned Quota x 100
Threshold	Below 70% for two consecutive quarters triggers a PIP
Target distribution	45%+ of reps above 100% 25%+ at 80-100% 30% or fewer below 80%
Owner	VP of Sales

2.4 Sales Cycle Length

Field	Detail
Definition	Average calendar days from Stage 1 creation to Closed Won
Formula	Mean of (Close Date - Stage 1 Date) across all Closed Won in the period
Target FY2024	87 days or fewer
Exclusions	Deals exceeding 365 days excluded as outliers
Owner	Sales Operations

2.5 Magic Number

Field	Detail
Definition	How much ARR is generated for every dollar spent on Sales and Marketing
Formula	Net New ARR (quarter) x 4 / S&M; Spend (prior quarter)
Target FY2024	0.75 or above Above 1.0 = highly efficient growth
Frequency	Calculated quarterly
Owner	CFO

3. Customer Metrics

3.1 Customer Acquisition Cost (CAC)

Field	Detail
Formula	Total S&M; Spend / New Logos
Target FY2024	USD 48,000 or below Payback period target: 18 months or less
Owner	CFO / Marketing

3.2 Churn Rate (Logo Churn)

Field	Detail
Formula	Churned Customers / Customers at Period Start x 100
Target FY2024	8% or below annually
Frequency	Monthly with 12-month rolling view
Owner	VP of Customer Success

3.3 Net Promoter Score (NPS)

Field	Detail
Calculation	% Promoters (9-10) - % Detractors (0-6)
Target FY2024	42 or above
Cadence	Quarterly: 90 days post-go-live and at each annual renewal
Owner	Customer Success

4. Reporting Cadence

Frequency	Content
Daily	Closed pipeline and intraday activity (Salesforce)
Weekly	Pipeline review, win/loss, coverage ratio (Monday call)
Monthly	Full KPI pack distributed to leadership by the 5th working day
Quarterly	Board pack, investor metrics, forecast vs actual reconciliation

5. Glossary

Acronym	Definition
ACV	Annual Contract Value
ARR	Annual Recurring Revenue
MRR	Monthly Recurring Revenue
TCV	Total Contract Value — used for multi-year deals
MQL	Marketing Qualified Lead
SQL	Sales Qualified Lead
ICP	Ideal Customer Profile
NRR	Net Revenue Retention
GRR	Gross Revenue Retention